

Apple Inc.  
AAPL NASDAQ

|      |                  |                              |                                      |                       |
|------|------------------|------------------------------|--------------------------------------|-----------------------|
| Hold | \$305.44 ▲ 0.67% | 12M Price Target<br>\$325.00 | 52-Week Range<br>\$202.16 – \$344.57 | Market Cap<br>\$4.46T |
|------|------------------|------------------------------|--------------------------------------|-----------------------|

AAPL: Mag 7 Cracks Showing, But Tech Rally Cushions Fall

WHAT HAPPENED

- AAPL just took a nasty haircut — down from \$338 to \$305 in about a week (roughly 10%). The volume spike on July 31 (132M shares vs normal ~75M) tells me institutions were dumping, not retail panic. That lines up with the Motley Fool piece today about the "Magnificent Seven" trade fracturing — Apple's being singled out as the weakest of the seven because its AI story is the thinnest.
- Meanwhile the broader Tech ETF is UP 3.6% today and 7.8% on the week. So AAPL is bleeding while its own sector rips higher — that's a specific-to-Apple problem, not a tech-wide problem.

WHY IT MATTERS

Here's what this really means: money isn't leaving tech, it's leaving Apple specifically and rotating into AI-native names (think NVDA, PLTR, AVGO). The options flow is screaming bullish short-term (put/call ratio of 0.27 — meaning traders are buying nearly 4 calls for every put), and there's massive unusual call buying at \$305-310 strikes for August expiry — someone big is betting on a bounce in the next few weeks. My read: the selloff is overdone in the short term, but the structural problem (Apple falling behind on AI while facing China tariff exposure) is real. This is a stock that's transitioning from "must-own growth" to "premium cash-flow compounder," and the multiple has to reset lower during that transition.

POLICY & POLITICAL WATCH

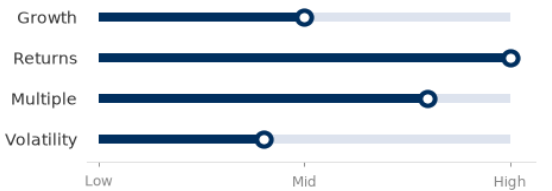
The big overhang is China trade policy — Apple assembles ~90% of iPhones in China and any tariff escalation (Section 301 reviews are ongoing) hits gross margin directly. The Trump administration's "reciprocal tariff" framework has been the single biggest swing factor for AAPL for the past year, and India manufacturing shift (now ~15% of iPhone output) is the hedge — watch for any executive order accelerating that transition. Separately, the DOJ antitrust case on the App Store is still grinding forward; a forced opening of the App Store to third-party payments would knock 3-5% off Services revenue, which is the highest-margin part of the business.

IS IT EXPENSIVE?

Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$305.44 |
| 12M Price Target    | \$325.00 |
| Upside / (Downside) | +6.4%    |
| Market Cap          | \$4.46T  |
| FY2026E Revenue     | \$425M   |
| FY2027E Revenue     | \$458M   |
| FY2026E EPS         | \$7.15   |
| FY2027E EPS         | \$7.85   |
| Fwd P/E             | 42.7x    |

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$325.00  | \$310.00  | \$285.00  |
| 6 Months  | \$355.00  | \$320.00  | \$270.00  |
| 1 Year    | \$380.00  | \$325.00  | \$255.00  |
| 2 Years   | \$425.00  | \$350.00  | \$240.00  |
| 5 Years   | \$550.00  | \$420.00  | \$260.00  |
| 10 Years  | \$800.00  | \$600.00  | \$300.00  |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Technology broadly (+7.8% on the week) — the AI capex cycle is still the dominant market narrative and money keeps flowing to picks-and-shovels names (semis, cloud, data centers).

**COOLING OFF:** Consumer Discretionary (-0.35% today) and Materials (-2% on the week) — tariff uncertainty is squeezing anything with global supply chain exposure, which is ironically also Apple's problem.

**ROTATION WATCH:** Money is rotating WITHIN tech — out of consumer hardware (AAPL) and into AI infrastructure (NVDA, AVGO, PLTR). That's why AAPL is red while the Tech ETF is green.

**RELATED PLAY:** If you want Apple's ecosystem exposure without the China risk, look at TSM (they make Apple's chips but the story is broader) or the Services beneficiaries like SPOT that ride the same premium consumer wallet.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI king — every dollar of enterprise AI spending flows through their chips first.
- PLTR (Palantir): Got an analyst upgrade today; government AI contracts are a direct beneficiary of federal AI spending initiatives.

**AAPL CONTEXT:** Apple is clearly LAGGING its Mag 7 peers right now. When your sector is up 7.8% for the week and you're down 10%, that's the market telling you something specific about the company — not the sector. The stock needs a catalyst (iPhone launch, AI announcement, China deal) to reclaim leadership, otherwise it stays a source of funds for the AI trade.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

**CONVICTION:** 6/10 — Cautiously constructive. Apple prints cash and won't go to zero, but I'm not pounding the table at 43x earnings with China risk unresolved.

**POSITION SIZE:** 3-5% of portfolio. It's a core holding, not a swing-for-the-fences bet. Anyone with more than 8% here is over-concentrated given the current setup.

**ENTRY POINTS:** I'd add on pullbacks to \$285-295 (that's near the 52-week midpoint and where the selling likely exhausts). Don't chase it back above \$320 without a fundamental catalyst.

**TIME HORIZON:** 12-24 months. The catalyst I'm waiting for is either the September iPhone launch (AI features actually landing) or a resolution on China tariffs — whichever comes first.

**WHEN TO BAIL:** If iPhone units decline more than 10% year-over-year, or if China tariffs jump to 25%+, I'm out. Those are the two things that break the model.

**HEDGING:** Simplest hedge — own some semiconductor exposure (AVGO or SMH ETF) alongside. If Apple lags because AI is eating its lunch, at least you're on the other side of that trade.